

✓ Quick Quiz ANSWERS

Capitalization

1. Unsecured loan. A credit card is the most common example of an unsecured loan.
2. Private. Loans from family and friends fall into this category.
3. Commercial loan. A loan from a bank that is used for a specific purpose (e.g., purchase a vehicle) falls into this category.
4. Line of credit. Because Fernandez only needs to draw money as necessary during the slow season, this option is considered a commercial line of credit.